MITK

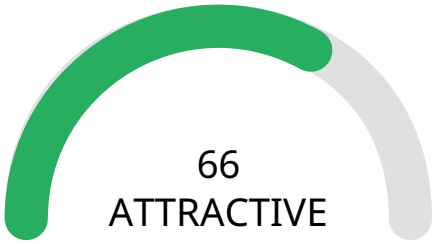
Mitek Systems, Inc. (NASDAQ)

$16.11 [Mkt 16-Oct-26]

Market Cap: $0.73B [Mkt 16-Oct-26]

As-of: 16-Oct-2026 | Latest Filing: FQ3 2026 (reported 6-Aug-26) | Currency: USD

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 70

Software economics with ~80-85% gross margins, FCF conversion ~70% of adjusted EBITDA, and a strengthened balance sheet ($100M+ cash/investments). Offset by small scale ($180M revenue), lumpy license revenue, and a limited moat against larger fraud vendors.

2. Recent Trend — 78

Eight straight quarterly EPS beats. FQ3: revenue +18% (beat +6.3%), record adjusted EBITDA margin 38.5% (up from 28.6%), guidance raised again. Stock popped 18% on the print but sits below its 50-day average, so momentum has cooled.

3. Forward Growth — 66

AI-driven fraud tailwind is real and durable: F&I revenue +14-28%, SaaS mix rising to 46%. But the company guides only ~8% total growth at the FY26 midpoint, and the legacy Check Verification base (~$90M TTM) is structurally soft.

4. Valuation — 55

DCF base $17.20 implies only 6.8% upside at $16.11; reverse DCF prices in 6.45% CAGR, between bear (5%) and base (9%). NTM P/E 13.5x with PEG 1.38 is reasonable but not cheap. Roughly fairly priced.

5. Catalysts & Risk — 64

FQ4 earnings Dec 10 test the raised guide; Check Fraud Defender consortium and FICO partnership add enterprise credibility. Biometrics license revenue is lumpy and

management warned it steps down in the back half. Small-cap execution risk with thin coverage (3 analysts).

Investment Thesis

- **Fraud Tailwind Is Real:** AI-assisted and synthetic identity fraud is driving bank demand; F&I SaaS grew 37% in FQ3 and the Check Fraud Defender consortium is compounding at 50%+ [Q3'26 call].
- **Execution Is Best-in-Small-Cap:** Eight straight EPS beats, record 38.5% adjusted EBITDA margin, and guidance raised multiple times in FY26. The management team keeps under-promising and over-delivering [Q3'26 8-K].
- **Fairly Priced, Not Cheap:** At $16.11 [Mkt 16-Oct-26], the DCF base $17.20 offers only 6.8% upside. The setup is a quality small cap at a fair price, not a bargain. Wait for weakness or an FQ4 beat to add.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (FQ3 2026)	$54.0M [Q3'26 8-K]	+18.2% [Q3'26 8-K]	Up
F&I Revenue (FQ3 2026)	$29.0M [Q3'26 8-K]	+14% [Q3'26 8-K]	Up
F&I SaaS Growth (FQ3)	+37% [Q3'26 call]	+22 pts est. [Q3'26 call]	Up
Adj. EBITDA Margin (FQ3)	38.5% [Q3'26 8-K]	+9.9 pts [Q3'26 8-K]	Up
Non-GAAP EPS (FQ3)	$0.34 [Q3'26 8-K]	+65% [Q3'26 8-K]	Up
SaaS Mix (LTM revenue)	46% [Q3'26 call]	+5 pts [Q3'26 call]	Up
FY2026 Revenue Guide	$189-198M [Q3'26 8-K]	~+8% mid [Q3'26 8-K]	Up

Historical Financial Trend

METRIC	FY21	FY22	FY23	FY24	FY25
Revenue	$33.3M [10-K FY21]	$144.8M [10-K FY22]	$172.6M [10-K FY23]	$172.1M [10-K FY24]	$179.7M [10-K FY25]
Net Margin	5.4% [10-K FY21]	2.6% [10-K FY22]	4.7% [10-K FY23]	1.9% [10-K FY24]	4.9% [10-K FY25]
FCF Margin	116.4% [10-K FY21]	13.8% [10-K FY22]	17.7% [10-K FY23]	17.6% [10-K FY24]	30.2% [10-K FY25]

Valuation

Absolute (5/10)

P/E (fwd) 13.5x [Mkt 16-Oct-26]
DCF Base $17.20 [Mkt 16-Oct-26]
PEG 1.38 [Mkt 16-Oct-26]

DCF implies 6.8% upside. Reasonable absolute multiple for a growing software name.

Versus Peers (5/8)

Identity-verification peer multiples not collected [n/a] Screened vs small-cap SaaS comps

EV/Revenue of 3.2x NTM is below typical SaaS multiples, partly reflecting the legacy check mix.

Versus History (5/7)

P/E 82.6x TTM (GAAP) vs 13.5x NTM [Mkt 16-Oct-26] Long-run multiple history not collected

GAAP TTM P/E is distorted by one-offs; NTM figure reflects the true run-rate.

Catalyst Timeline

10 Dec 2026 [Cons]
FQ4 2026 Earnings (Positive): Fiscal year ended Sep 30; guide was $189-198M full-year revenue. Tests whether raised outlook was conservative.

2027 [PR]
Check Fraud Defender Expansion (Positive): FICO partnership plus top-5 US bank joining the consortium; ACV already >$19M and up 50%+ YoY.

2027 [Q3'26 call]
SaaS Mix Crossing 50% (Positive): SaaS at 46%

Top Risk Factors (Item 1A)

1. Legacy Check Decline: Check Verification revenue was +24% in FQ3 on renewal timing but is a structurally declining legacy base at ~$90M TTM. Renewal lumpiness can produce sudden quarterly air pockets. [Q3'26 call]

2. Lumpy License Revenue: Biometrics license activity drove the F&I beat but is explicitly lumpy; management warned it steps down sequentially in the back half of the year. [Q3'26 call]

3. Small-Cap Competition: A ~$730M small cap competing against larger fraud and identity platforms. Thin analyst coverage (3 analysts) means

> of LTM revenue vs 40% a year ago; continued shift improves revenue visibility and multiple.

What Would Change Our Score

A FQ4 beat with FY27 guidance pointing to sustained mid-teens F&I growth would lift Forward Growth and justify a re-rating. A license-driven miss or further Check Verification deterioration would cut Trend and Valuation.

less institutional support and higher volatility. [Q3'26 8-K]

Forward Growth Drivers

- AI-assisted and synthetic identity fraud wave increasing bank demand for multilayered verification [Q3'26 call]
- Check Fraud Defender consortium network: ACV >$19M, +50% YoY, top-5 US bank joined, FICO partnership [Q3'26 call]
- SaaS transition: 46% of LTM revenue vs 40% a year ago; F&I SaaS growing high-teens to 20% [Q3'26 call]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used EBITDA margin trajectory qualitatively.
- Long-run multiple history not collected locally; current TTM/NTM multiples only, tagged [Mkt 16-Oct-26].
- Identity-verification peer multiples not collected locally; peer comparison limited.
- No recent M&A activity found in searches; logged as absent rather than confirmed.
- FY21 FCF margin 116% reflects the stub-year $33.3M revenue figure in local data; treat FY21 as anomalous.

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